XI. SOCIAL SECURITY

f. RA No. 1161, as amended by RA Nos. 1792, 2658, 3839, 4457, PS Nos. 24, 177, 347, 735, 1202, 1636, E.O Nos. 28, 102, RA Nos. 7322 and 8282, "The Social Security Act of 1997"

i. Development of the law
ii. Rationale
iii. Validity of the Social Security Law
iv. Construction of the Social Security Law
v. Coverage of the SSS Law; who are not covered
vi. Obligations of Employer under the SSS Law
vii. SSS Benefits
viii. Beneficiaries
ix. Procedures

Powers and Functions:

"(2) To establish a provident fund for the members which will consist of voluntary contributions of employers and/or employees, self-employed and voluntary members and their earnings, for the payment of benefits to such members or their beneficiaries, subject to such rules and regulations as it may promulgate and approved by the President of the Philippines;

"(3) To maintain a Provident Fund which consists of contributions made by both the SSS and its officials and employees and their earnings, for the payment of benefits to such officials and employees or their heirs under such terms and conditions as it may prescribe;

"SEC. 9. Coverage. –

(a) Coverage in the SSS shall be compulsory upon all employees not over- sixty (60) years of age and their employers: Provided, That in the case of domestic helpers, their monthly income shall not be less than One thousand pesos (P1,000) a month: Provided, further, That any benefit already earned by the employees under private benefit plans existing at the time of the approval of this Act shall not be discontinued, reduced or otherwise impaired: Provided, further, That private plans which are existing and in force at the time of compulsory coverage shall be integrated with the plan of the SSS in such a way where the employer's contribution to his private plan is more than that required of him in this Act, he shall pay to the SSS only the contribution required of him and he shall continue his contribution to such private plan less his contribution to the SSS so that the employer's total contribution to his benefit plan and to the SSS shall be the same as his contribution to his private benefit plan before the compulsory coverage: Provided, further, That any changes, adjustments, modifications, eliminations or improvements in the benefits to be available under the remaining private plan, which may be necessary to adopt by reason of the reduced contributions thereto as a result of the integration, shall be subject to agreements between the employers and employees concerned: Provided, further, That the private benefit plan which the employer shall continue for his employees shall remain under the employer's management and control unless there is an existing agreement to the contrary: Provided, finally, That nothing in this Act shall be construed as a limitation on the right of employers and employees to agree on and adopt benefits which are over and above those provided under this Act.

(b) "(b) Spouses who devote full time to managing the household and family affairs, unless they are also engaged in their vocation or employment which is subject to mandatory coverage may be covered by the SSS on a voluntary basis.

(c) "(c) Filipinos recruited by foreign-based employers for employment abroad may be covered by the SSS on a voluntary basis.

1."SEC. 9-A. Compulsory Coverage of the Self-employed. - Coverage in the SSS shall be compulsory upon such self-employed persons as may be determined by the Commission under such rules and regulations as it may prescribe, including but not limited to the following: All self-employed professionals;
2.Partners and single proprietors of businesses;
3.Actors and actresses, directors, scriptwriters and news correspondents who do not fall within the definition of the term "employee" in Sec. 8 (d) of this Act;
4.Professional athletes, coaches, trainers and jockeys; and
5.Individual farmers and fishermen. "Unless otherwise specified herein, all provisions of this Act applicable to covered employees shall also be applicable to the covered self-employed persons.

"SEC. 10. Effectivity Date of Coverage. - Compulsory coverage of the employer shall take effect on the first day of his operation and that of the employee on the day of his employment: Provided, That the compulsory coverage of the self-employed person shall take effect upon his registration with the SSS.

"SEC. 11. Effect of Separation from Employment. - When an employee under compulsory coverage is separated from employment, his employer's contribution on his account and his obligation to pay contributions arising from that employment shall cease at the end of the month of separation, but said employee shall be credited with all contributions paid on his behalf and entitled to benefits according to the provisions of this Act. He may, however, continue to pay the total contributions to maintain his right to full benefit.

"SEC. 12. Monthly Pension. –
(a) The monthly pension shall be the highest of the following amounts:
"(1) The sum of the following:
"(i) Three hundred pesos (P300); plus
"(ii) Twenty percent (20%) of the average monthly salary credit; plus
"(iii) Two percent (2%) of the average monthly salary credit for each credited year of service in excess of ten (10) years; or
"(2) Forty percent (40%) of the average monthly salary credit; or
"(3) One thousand pesos (P1,000): Provided, That the monthly pension shall in no case be paid for an aggregate amount of less than sixty (60) months.

"(b) Notwithstanding the preceding paragraph, the minimum pension shall be One thousand two hundred pesos (P1,200) for members with at least ten (10) credited years of service and Two thousand four hundred pesos (P2,400) for those with twenty (20) credited years of service.

"SEC. 12-A. Dependents' Pension. - Where monthly pension is payable on account of death, permanent total disability or retirement, dependents' pension equivalent to ten percent (10%) of the monthly pension or Two hundred fifty pesos (P250), whichever is higher, shall also be paid for each dependent child conceived on or before the date of the contingency but not exceeding five (5), beginning with the youngest and without substitution: Provided, That where there are legitimate and illegitimate children, the former shall be preferred.

"SEC. 12-B. Retirement Benefits. - (a) A member who has paid at least one hundred twenty (120) monthly contributions prior to the semester of retirement and who (1) has reached the age of sixty (60) years and is already separated from employment or has ceased to be self-employed or (2) has reached the age of sixty-five (65) years, shall be entitled for as long as he lives to the monthly pension: Provided, That he shall have the option to receive his first eighteen (18) monthly pensions in lump sum discounted at a preferential rate of interest to be determined by the SSS. "(b) A covered member who is sixty (60) years old at retirement and who does not qualify for pension benefits under paragraph (a) above, shall be entitled to a lump sum benefit equal to the total contributions paid by him and on his behalf: Provided, That he is separated from employment and is not continuing payment of contributions to the SSS on his own. "(c) The monthly pension shall

be suspended upon the reemployment or resumption of self- employment of a retired member who is less than sixty-five (65) years old. He shall again be subject to Section Eighteen and his employer to Section Nineteen of this Act. "(d) Upon the death of the retired member, his primary beneficiaries as of the date of his retirement shall be entitled to receive the monthly pension: Provided, That if he has no primary beneficiaries and he dies within sixty (60) months from the start of his monthly pension, his secondary beneficiaries shall be entitled to a lump sum benefit equivalent to the total monthly pensions corresponding to the balance of the five-year guaranteed period, excluding the dependents' pension. "(e) The monthly pension of a member who retires after reaching age sixty (60) shall be the higher of either: (1) the monthly pension computed at the earliest time he could have retired had he been separated from employment or ceased to be self-employed plus all adjustments thereto; or (2) the monthly pension computed at the time when he actually retires.

"SEC. 13. Death Benefits. - Upon the death of a member who has paid at least thirty-six (36) monthly contributions prior to the semester of death, his primary beneficiaries shall be entitled to the monthly pension: Provided, That if he has no primary beneficiaries, his secondary beneficiaries shall be entitled to a lump sum benefit equivalent to thirty-six (36) times the monthly pension. If he has not paid the required thirty-six (36) monthly contributions, his primary or secondary beneficiaries shall be entitled to a lump sum benefit equivalent to the monthly pension times the number of monthly contributions paid to the SSS or twelve (12) times the monthly pension, whichever is higher.

"SEC. 13-A. Permanent Disability Benefits. - (a) Upon the permanent total disability of a member who has paid at least thirty-six (36) monthly contributions prior to the semester of disability, he shall be entitled to the monthly pension: Provided, That if he has not paid the required thirty-six (36) monthly contributions, he shall be entitled to a lump sum benefit equivalent to the monthly pension times the number of monthly contributions paid to the SSS or twelve (12) times the monthly pension, whichever is higher. A member who (1) has received a lump sum benefit; and (2) is re-employed or has resumed self- employment not earlier than one (1) year from the date of his disability shall again be subject to compulsory coverage and shall be considered a new member.

"SEC. 13-B. Funeral Benefit. - A funeral grant equivalent to Twelve thousand pesos (P12,000) shall be paid, in cash or in kind, to help defray the cost of funeral expenses upon the death of a member, including permanently totally disabled member or retiree.

"SEC. 14. Sickness benefit. - (a) A member who has paid at least three (3) monthly contributions in the twelve-month period immediately preceding the semester of sickness or injury and is confined therefore for more than three (3) days in a hospital or elsewhere with the approval of the SSS, shall, for each day of compensable confinement or fraction thereof, be paid by his employer, or the SSS, if such person is unemployed or self- employed, a daily sickness benefit equivalent to ninety percent (90%) of his average daily salary credit, subject to the following conditions:

"SEC. 14-A. Maternity Leave Benefit. - A female member who has paid at least three (3) monthly contributions in the twelve month period immediately preceding the semester of her childbirth or miscarriage shall be paid a daily maternity benefit equivalent to one hundred percent (100%) of her average daily salary credit for sixty (60) days or seventy-eight (78) days in case of caesarean delivery. (105 days already)

"SEC. 15. Nontransferability of Benefits. - The SSS shall promptly pay the benefits provided for in this Act to such persons as may be entitled thereto in accordance with the provisions of this Act: Provided, That the SSS shall pay the retirement benefits on the day of contingency to qualified members who have submitted the necessary documents at least six (6) months before: Provided, further, That the beneficiary who is a national of a foreign country which does not extend benefits to a Filipino beneficiary residing in the Philippines, or which is not recognized by the Philippines, shall not be entitled to receive any benefit under this Act: Provided, further, That notwithstanding the foregoing, where the best interest of the SSS will be served, the Commission may direct payments without regard to nationality or country of residence: Provided, further, That if the

recipient is a minor or a person incapable of administering his own affairs, the Commission shall appoint a representative under such terms and conditions as it may deem proper: Provided, further, That such appointment shall not be necessary in case the recipient is under the custody of or living with the parents or spouse of the member in which case the benefits shall be paid to such parents or spouse, as representative payee of the recipient. Such benefits are not transferable and no power of attorney or other document executed by those entitled thereto, in favor of any agent, attorney or any other person for the collection thereof on their behalf shall be recognized, except when they are physically unable to collect personally such benefits: Provided, further, That in case of death benefits, if no beneficiary qualifies under this Act, said benefits shall be paid to the legal heirs in accordance with the law of succession.

Who are the employees' beneficiaries?

- The beneficiaries shall be either primary or secondary, and determined at the time of employee's death.
- The following beneficiaries shall be considered primary:
- The legitimate spouse living with the employee at the time of the employee's death until he remarries; and
- Legitimate, legitimated, legally adopted or acknowledged natural children, who are unmarried, not gainfully employed, not over 21 years of age, or over 21 years of age provided he is incapacitated and incapable of self- support due to physical or mental defect which is congenital or acquired during minority.
- The following beneficiaries shall be considered secondary:
- The legitimate parents wholly dependent upon the employee for regular support;
- The legitimate descendants and illegitimate children who are unmarried, not gainfully employed, not over 21 years of age, or over 21 years of age provided he is incapacitated and incapable of self-support due to physical or mental defect which is congenital or acquired during minority.
- Primary beneficiaries shall have priority claim to death benefits over secondary beneficiaries. Whenever there are primary beneficiaries, no death benefit shall be paid to his secondary beneficiaries.

"SEC. 18. Employee's Contribution. - (a) Beginning as of the last day of the calendar month when an employee's compulsory coverage takes effect and every month thereafter during his employment, the employer shall deduct and withhold from such employee's monthly salary, wage, compensation or earnings, the employee's contribution in an amount corresponding to his salary, wage, compensation or earnings during the month in accordance with the following schedule:

Cases:

1. *Benguet Consolidated Inc. v. SSS, GR L-19254, 31 March 1964*

Case	Benguet Consolidated, Inc. v. Social Security SystemG.R. No. L-19254, March 31, 1964 (10 SCRA 618)
Facts	Benguet Consolidated, Inc. was a mining enterprise employing thousands of daily-wage and regular workers. When the Social Security Act of 1954 (R.A. No. 1161) took effect, the Social Security Commission issued a circular demanding compulsory employer-employee contribution payments for all workers in the company's employ. Benguet Consolidated challenged the validity of the law and the compulsory coverage of its workers, arguing that: (1) compulsory membership unconstitutionally impairs existing collective bargaining agreements and private pension programs already established by the company; and (2) the law constitutes an invalid exercise of the State's police power and an arbitrary deprivation of property without due process of law.
Issue	Whether the compulsory coverage of employers and private employees under the Social Security Law is a valid exercise of police power and whether it unconstitutionally impairs private employment contracts and existing company retirement plans.
Held	The Social Security Law is a VALID and CONSTITUTIONAL exercise of the police power of the State; it does NOT unconstitutionally impair private contracts or retirement funds. Verbatim Legal Basis: Section 9, Republic Act No. 1161 (The Social Security Act): "Sec. 9. Compulsory Coverage. — Coverage in the SSS shall be compulsory upon all employees not over sixty years of age and their employers: Provided, That any benefit already granted by an employer to his employees more favorable than those provided under this Act shall not be discontinued or reduced by reason of the enactment hereof..."
Ratio	1. Primacy of Police Power over Private Contracts: The Social Security Act was enacted pursuant to the social justice and welfare mandates of the Constitution. Private contracts, including CBAs and voluntary company pension agreements, are necessarily subordinate to the police power of the State enacted for the general welfare and economic security of the working class. 2. Non-Diminution of Superior Private Benefits: The law expressly provides that preexisting private retirement or benefit funds that offer advantages superior to the statutory minimum are not abolished or extinguished; rather, statutory SSS coverage operates concurrently to guarantee basic social insurance against death, disability, sickness, and old age.
Fallo	WHEREFORE, the decision appealed from is hereby AFFIRMED, with costs against petitioner-appellant Benguet Consolidated, Inc.

2. *Coca-Cola Bottlers Philippines v. CCBPI Sta. Rosa Plant Employees Union, G.R. No. 197494, 25 March 2019*

Case	
Facts	
Issue	
Held	
Ratio	

Fallo	

3. *SSS v. Simacas, G.R. No. 217866, 20 June 2022*

Case	Social Security System v. Violeta A. SimacasG.R. No. 217866, June 20, 2022
Facts	Irnardo Simacas was employed as a fabrication helper and welder by Greentech Metal Fabricator. During his employment, he was diagnosed with prostate cancer, which eventually spread, leading to his death. His surviving spouse, Violeta Simacas, filed a claim for permanent total disability and death benefits before the SSS. The SSS denied the claim on the ground that prostate cancer was not listed as an occupational disease under Annex "A" of the Amended Rules on Employees' Compensation, and that the claimant failed to present substantial medical evidence proving that the work of a fabrication helper/welder directly caused or increased the risk of contracting prostate cancer. The Employees' Compensation Commission (ECC) affirmed the SSS denial, but the Court of Appeals reversed the ECC, ruling that the physical and chemical conditions of welding could have aggravated the illness.
Issue	Whether a non-listed disease (prostate cancer) contracted by an industrial worker is compensable under the Social Security and Employees' Compensation laws under the theory of increased risk.
Held	The illness is compensable; the claimant presented substantial proof that the conditions of employment increased the risk of contracting the disease. Verbatim Legal Basis: Article 167(l) [now Article 173(l)], Labor Code of the Philippines (Employees' Compensation and State Insurance Fund): "Art. 167. Definition of terms. — ... (l) 'Sickness' means any illness definitely accepted as an occupational disease listed by the Commission, or any illness caused by employment subject to proof that the risk of contracting the same was increased by working conditions."
Ratio	1. Doctrine of Increased Risk: For a non-listed disease to be compensable under the Employees' Compensation Program, the claimant is not required to show absolute medical certainty. It is sufficient to demonstrate reasonable work connection or that the daily working conditions, chemical exposures, metal fumes, and physical strains of the job aggravated or increased the risk of contracting or accelerating the disease. 2. Social Justice and Liberal Construction in Social Security: The Social Security Act and the Employees' Compensation provisions of the Labor Code are social legislations designed to provide meaningful economic relief to working-class families. In cases of doubt or conflicting medical opinions, the law must be construed liberally in favor of the working beneficiary to effectuate social protection.
Fallo	WHEREFORE, the Petition is DENIED. The Decision of the Court of Appeals dated August 28, 2014 and Resolution dated March 26, 2015 in CA-G.R. SP No. 132474 are AFFIRMED. The Social Security System is ORDERED to PAY respondent Violeta A. Simacas the full death and disability compensation benefits due under the law.

g. PD No. 1146, as amended by RA no. 8291, "The Government Service Insurance System Act of 1997"

"B. MEMBERSHIP IN THE GSIS "SECTION 3. Compulsory Membership. - Membership in the GSIS shall be compulsory for all employees receiving compensation who have not reached the compulsory retirement age, irrespective of employment status, except members of the Armed Forces of the Philippines and the Philippine National Police, subject to the condition that they must settle first their financial obligation with the GSIS, and contractuals who have no employer and employee relationship with the agencies they serve.

"Except for the members of the judiciary and constitutional commissions who shall have life insurance only, all members of the GSIS shall have life insurance, retirement, and all other social security protection such as disability, survivorship, separation, and unemployment benefits.

BENEFITS:

- "SECTION 9. Computation of the Basic Monthly Pension."
- "SEPARATION BENEFITS"
- "RETIREMENT BENEFITS"
- "PERMANENT DISABILITY BENEFITS"
- "SECTION 16. Permanent Total Disability Benefits.
- "SECTION 17. Permanent Partial Disability Benefits
- "TEMPORARY DISABILITY BENEFITS
- "SURVIVORSHIP BENEFITS
- "FUNERAL BENEFITS
- "LIFE INSURANCE BENEFITS

"SECTION 28. Prescription. - Claims for benefits under this Act except for life and retirement shall prescribe after four (4) years from the date of contingency.

"SECTION 30. Settlement of Disputes. - The GSIS shall have original and exclusive jurisdiction to settle any dispute arising under this Act and any other laws administered by the GSIS.

The Board may designate any member of the Board, or official of the GSIS who is a lawyer, to act as hearing officer to receive evidence, make findings of fact and submit recommendations thereon. The hearing officer shall submit his findings and recommendations, together with all the documentary and testimonial evidence to the Board within thirty (30) working days from the time the parties have closed their respective evidence and filed their last pleading. The Board shall decide the case within thirty (30) days from the receipt of the hearing officer's findings and recommendations. The cases heard directly by the Board shall be decided within thirty (30) working days from the time they are submitted by the parties for decision.

What is Portability?

Portability refers to the transfer of funds for the account, and benefit of a worker who transfers from one system to the other (Section 1(b), Rule III of R.A. No. 7699). The term system herein refers to SSS or GSIS. It refers to instances where a worker transfers from private employment to government employment, and vice versa, thereby transferring from being SSS member to GSIS member, and vice versa. The transfer of funds is to ensure that his/her years of service are duly credited.

Limited Portability Scheme

R.A. No. 7699 was enacted to enable those from the private sector who transfer to the government service or from the government sector to the private sector to combine their years of service and contributions which have been credited with the SSS or GSIS, as the case may be, to satisfy the required number of years of service for entitlement to the benefits under the applicable laws

Totalization

It refers to the process of adding up the periods of creditable services or contributions under each of the Systems, SSS or GSIS, for the purpose of eligibility and computation of benefits (Chan, Joselito, Bar Reviewer on Labor Law, 2017 3rd Revised Edition, pg. 445). Hence, if a worker is not entitled to any benefits under SSS or GSIS because the periods of his creditable services or contributions does not qualify to avail any benefit under SSS or GSIS, as the case may be, he/she could apply the totalization rule. Applying the totalization rule

can increase the chances of a worker to avail of benefits under the subject law.

Section 3, Rule V of R.A. No. 7699 provides instances where totalization applies, to wit:
If a worker is not qualified for any benefits from both Systems;
If a worker in the public sector is not qualified for any benefits in the GSIS; or
If a worker in the private sector is not qualified for any benefits from the SSS. If a work qualifies for benefits in both Systems, totalization shall not apply (Section 5, Rule V of R.A. No. 7699).

Who are covered under the Employees' Compensation Program?

- Private sector workers who are compulsory members of the Social Security System (SSS) and sea-based Overseas Filipino Workers (OFWs).
- Government sector employees who are members of the Government service Insurance System (GSIS), including members of the Armed Forces of the Philippines, elective government officials who are receiving regular salary and all casual, emergency, temporary and substitute or contractual employees.

When is sickness or injury compensable under the Employees' Compensation Program?

- For the sickness and the resulting disability or death to be compensable, the sickness must be the result of an occupational disease listed under Annex "A" of the Amended Rules on Employees' Compensation with the conditions set therein satisfied, otherwise, proof must be shown that the risk of contracting the disease is increased by the working conditions.
- For the injury and the resulting disability or death to be compensable, the injury must be the result of accident arising out of and in the course of the employment.

What are the benefits under the Employees' Compensation Program?

- Loss-of-income benefits;
- Medical services, appliances and supplies;
- Carers' allowance;
- Rehabilitation services;
- Death benefits;
- Funeral benefits

When shall EC claims be filed?

- EC claims must be filed within a period of three years from:
  - In case of sickness, from the time the employee was unable to report for work; .
  - In case of injury, from the time of the incident;
  - In case of death, from the date of death.
  - The filing of disability or death benefits either under the SSS law or the GSIS law within three years from the time the cause of action accrued would stop the running of the prescriptive period.

Where are EC claims filed?

- All EC claims may be filed by the claimant at his option in the GSIS Regional Office (for the public sector) or SSS Branch (for the private sector) nearest to his place of work or residence.
- What if my EC claim was denied at the GSIS or the SSS?
  - He/she may file a request for reconsideration with the GSIS or SSS main office. If still denied, the claimant can write a letter of appeal to the Employees' Compensation Commission.

What is the ECC-QRP?

- The Employees' Compensation Commission Quick Response Team Program is an immediate assistance extended to help workers who suffer from work- connected contingencies or their families who have to deal with work accidents or sudden onset of occupational disease or death, in the form of psycho-social counselling and assistance in

the filing of EC claim with the GSIS or the SSS.
- Who are covered under the ECC-QRP?
  - All Employees' Compensation (EC) members.

JULIETA T. VERZONILLA v. EMPLOYEES' COMPENSATION COMMISSION, GR No. 232888, 2019-08-14

- GSIS denied the claim of Julieta, stating that based on the documents submitted, the ailment of Reynaldo was not connected to his work and that no evidence was found that his duties as SOO III increased the risk of contracting said ailment. Julieta moved for a reconsideration of the denial but the same was denied in the GSIS decision dated May 24, 2013.
- Julieta elevated her claims to the Employees' Compensation Commission (ECC). In a decision dated August 7, 2013, the ECC affirmed the decision of the GSIS, noting that while cardiovascular disease is listed as an occupational disease under Annex "A" of the Amended Rules on Employees Compensation (EC), it is still subject to the conditions therein set. According to the ECC, Julieta failed to satisfy these conditions. Further, the ECC held that Julieta failed to provide substantial evidence to show reasonable connection between the cause of death of Reynaldo and his work and working conditions.
- It is well to recall that the first law on workmen's compensation, Act No. 3428, worked upon the presumption of compensability which means that if the injury or disease arose out of and in the course of employment, it was presumed that the claim for compensation fell within the provisions of the law. PD 626 abandoned this presumption. Hence, for the sickness and resulting disability or death to be compensable, the claimant has the burden of proof to show, by substantial evidence, that the conditions for compensability is met.
- Hence, in the present case, the fact that cardiovascular disease is listed as an occupational disease does not mean automatic compensability. Julieta must show, by substantial evidence, that any of the conditions in item number 18 of the Amended Rules on EC was satisfied or that the risk of Reynaldo in contracting his disease was increased by his working conditions.
- Julieta hinges her claim on paragraphs (a) and (b) of item number 18 of the ECC Board Resolution. She does not dispute that Reynaldo had a pre-existing hypertension, having been diagnosed with such in 2002. However, she claims that this illness, as well as the abdominal pain that Reynaldo suffered, was aggravated by the strenuous conditions of his work as SOO III, which ultimately led to his death.
- It is well-settled that the degree of proof required under P.D. No. 626 is merely substantial evidence, which means, such relevant evidence as a reasonable mind might accept as adequate to support a conclusion. What the law requires is a reasonable work-connection and not a direct causal relation. It is enough that the hypothesis on which the workman's claim is based is probable. Medical opinion to the contrary can be disregarded especially where there is some basis in the facts for inferring a work connection.
- Probability, not certainty, is the touchstone. It is not required that the employment be the sole factor in the growth, development or acceleration of a claimant's illness to entitle him to the benefits provided for. It is enough that his employment contributed, even if to a small degree, to the development of the disease.
- In sum, the Court is convinced that Julieta was able to adduce substantial evidence to support her claims for compensation benefits in relation to her late husband's death. On a final note, it is well to recall that the constitutional guarantee of social justice towards labor demands a liberal attitude in favor of the employee in deciding claims for compensability. This holds true despite PD 626's abandonment of the presumption of compensability under the previous Workmen's Compensation Act. The Court has ruled, thus: Presidential Decree No. 626, as amended, is said to have abandoned the presumption of compensability and the theory of aggravation prevalent under the Workmens Compensation Act. Despite such abandonment, however, the present law has not ceased to be an employees' compensation law or a social legislation; hence, the liberality of the law in favor of the working man and woman still prevails, and the official agency charged by law to implement the constitutional guarantee of social justice should adopt a liberal attitude in favor of the employee in deciding claims for compensability, especially in light of the compassionate policy towards labor which the 1987 Constitution vivifies and enhances.

Ranises v. ECC, 504 Phil. 340 (2005);

- Records show that petitioner falls under the third condition. In September 1997, when he was

diagnosed to be suffering from myocardial infraction, he was employed as a driver-messenger by Data Craft Systems and subsequently by ADCOMS International, Inc. Prior to his employment, both companies' doctors certified that he was in good health and fit to work. As a driver and messenger, he spent virtually his whole day driving around Metro Manila, delivering equipment, collecting checks, and picking up company guests at the airport and driving them to designated places. Obviously, petitioner in the performance of his job, was subject to severe strain and fatigue and exposed to the stress and strain of everyday traffic. We thus agree with the Solicitor General that petitioner's ailment, being work-connected, is compensable.

- The issue before us is not of first impression.
    - In Sepulveda v. Employees Compensation Commission, a public-school teacher, assigned to a remote rural area, died of myocardial infarction. In sustaining the claim for compensation benefits, we held that due to his occupation as a school teacher assigned to one of the remotest parts of Tangub City, his illness was directly brought about by his employment or was a result of the nature of such employment.
    - In Cortes v. Employees Compensation Commission, we ruled that myocardial infarction is now considered an occupational disease by the ECC and is, therefore, compensable.
    - Then in Eastern Shipping Lines, Inc. v. Philippine Overseas Employment Administration, we upheld the ruling of the POEA awarding compensation benefits to the heirs of a Filipino seaman who died of myocardial infarction while his vessel was in Japan.
    - In Roldan v. Republic, we held that a poor schoolteacher who gave the best years of her life in the service and who in the process, contracted heart ailment and hypertension, is entitled to compensatory benefits corresponding to her claim
    - In Tibulan v. Inciong, a barge captain died of myocardial infarction. We held that where an employee had entered employment in good health and suffered an illness in the course of an employment which he never had before, he has in his favor the statutory presumption that his illness or disease is compensable. We reiterated our ruling in the Heirs of the Late R/O Reynaldo Aniban v. National Labor Relations Commission. In this case, a ship radio operator, who was healthy when he boarded his vessel, died of myocardial infarction three months later. We ruled that his disease is compensable on the ground that any kind of work or labor produces stress and strain normally resulting in wear and tear of the human body.
    - In Government Service Insurance System v. Gabriel, we ruled that acute myocardial infarction is listed as an occupational disease, and its incidence, whether or not associated with a non-listed ailment, is enough basis for requiring compensation. And in Republic v. Mariano, we reiterated our ruling in Gabriel that heart disease and hypertension are compensable illnesses.

Ambassador Hotel Inc. v. SSS, G.R No. 194137, June 21, 2017;

- Verily, prompt remittance of SSS contributions under the aforesaid provision is mandatory. Any divergence from this rule subjects the employer not only to monetary sanctions, that is, the payment of penalty of three percent (3%) per month, but also to criminal prosecution if the employer fails to: (a) register its employees with the SSS; (b) deduct monthly contributions from the salaries/wages of its employees; or (c) remit to the SSS its employees' SSS contributions and/or loan payments after deducting the same from their respective salaries/wages.

- The argument of Ambassador Hotel - that the RTC lost its jurisdiction over it when Yolanda was acquitted - fails to convince. It is a well-settled rule that the jurisdiction of a court depends upon the state of facts existing at the time it is invoked, and if the jurisdiction once attaches to the person and subject matter of the litigation, the subsequent happening of events, although they are of such a character as would have prevented jurisdiction from attaching in the first instance, will not operate to oust jurisdiction already attached. Also, it is fundamental that the jurisdiction of a court in criminal cases is determined by the allegations of the information or criminal complaint and not by the result of the evidence presented at the trial, much less by the trial judge's

personal appraisal of the affidavits and exhibits attached by the fiscal to the record of the case without hearing the parties and their witnesses nor receiving their evidence at a proper trial.

Ismael and Ajijon v. People, G.R. Nos. 234435-36. February 06, 2023

- In this case, accused Ismael and Ajijon acted with evident bad faith because they were in breach of their respective sworn duties. In effect, the proximate cause of the non-remittance of the GSIS contributions can be traced from the failure of accused Ismael, as the Municipal Mayor, to exercise her power of general supervision and control over all activities of the municipality - particularly, her duty to ensure that Municipal Accountant Ladja was performing his functions faithfully. Hence, the Court cannot accept accused Ismael's act of shifting the blame to Municipal Accountant Ladja for not preparing the vouchers for the remittances of the GSIS contributions.

- The Supreme Court Said: Sheer failure to discharge a statutory duty does not automatically serve as basis for conviction under Section 3(e) of RA No. 3019. As an element of the offense, the prosecution must present proof beyond reasonable doubt that the officer's act or omission is accompanied with the elements of manifest partiality, evident bad faith, or gross inexcusable negligence to justify the conviction. We are reminded of the consistent teaching in our jurisprudence that errors or omissions committed by public officials, no matter how evident, are not actionable absent any clear showing that they were motivated by malice or gross negligence amounting to bad faith. Bad faith is never presumed, especially in criminal cases which have its existence as an element. Despite apparent non-feasance, the accused enjoys the presumption of innocence and shall remain so until all the elements of the crime charged are proven beyond reasonable doubt. More specifically, we have consistently held that bad faith is not simple "bad judgment or negligence." "It is not enough that the accused violated a provision of law," it must be shown that the accused acted with a malicious motive or ill will.
- Here, no evidence supports the conclusion that evident bad faith or even gross inexcusable negligence attended such failure. The Sandiganbayan gravely erred in equating petitioners' failure to discharge their duties under RANo. 8291 to evident bad faith. Neither can such failure be deemed as gross and inexcusable as contemplated under RA No. 3019. As we have emphasized in Martel v. People,81 violations of RA No. 3019, as its title implies, must be grounded on graft and corruption, which entails dishonest or fraudulent actions for acquisition of gains. Absent a showing of bad faith, gross negligence, or acts of dishonesty and fraud, petitioners cannot be held liable under Section 3(e) of RA No. 3019.
- The importance of the GSIS fund cannot be emphasized enough. Aside from ensuring the social security and insurance benefits of government employees, the GSIS fund was created "to serve as a filing reward for dedicated public service."82 Hence, it is a declared policy of the State that the actuarial solvency of the GSIS funds be preserved and maintained at all times83 to guarantee government employees all the benefits due them and their dependents. To this end, the law expressly condemns the non-remittance of fund contributions, which come from both members and employers. In fact, to ensure prompt collection and remittance of contributions, RA No. 8291 and its IRR penalizes specific persons who fail, refuse or delay to remit contributions.
- We emphasize that petitioners admittedly failed to fully and timely remit GSIS contributions, albeit they attempted to justify their failure to perform their statutory duty.97 However, instead of establishing absolutory causes, petitioners' evidence merely disclosed their reactive and belated efforts in performing their duty under the law, and proves no more than a string of blame-shifting.
- Foremost, the existence of arrearages before their assumption of office cannot excuse them with ease from performing their duty under the GSIS Law. It is noteworthy that ismael assumed mayorship in 2001, but their evidence shows that it was only in 2003 when she called for a meeting with the concerned municipal officers to tackle their GSIS predicament.99 It was also only in 2003 when Ismael actively coordinated with the GSIS to pursue a settlement. Records show that from 2001-2003, the municipality continued to fail in remitting employees' contributions to the GSIS.100 As for Ajijon, the

Sandiganbayan observed that she was in office ahead of Ismael and was aware of the arrearages, but failed to advise Ismael of such important matter.

- Petitioners then cite the terrorist activities in their area as a major factor that prevented them from making full remittance of GSIS contributions. Such fact, however, does not suffice since records show that, at the very least, members' shares were consistently collected from them, but still, those deductions were not fully remitted,102 and no proper accounting was given to explain where the unremitted portions went. That municipality funds were allegedly used for rehabilitation of areas devastated by terrorism is likewise unacceptable because Section 6(b)103 of RA No. 8291 categorically states that remittance by the employer of the contributions to the GSIS takes priority over and above the payment of any and all obligations, except salaries and wages of its employees.104 In any case, there is no competent evidence presented to support petitioners' claim that the GSIS contributions were actually and legally realigned for other legitimate purposes.

i. Coverage
ii. Compulsory Membership
iii. Employees not subject to compulsory coverage
iv. Classes of GSIS Membership
v. GSIS Benefits
vi. Prescriptive Period for Filing Claims

Cases:

1. *GSIS vs Apolinario Pauig, GR No. 210328, 30 January 2017*

Case	Government Service Insurance System v. Apolinario PauigG.R. No. 210328, January 30, 2017
Facts	Apolinario Pauig was employed as a heavy equipment operator by the Provincial Government of Isabela from 1974 until his compulsory retirement in 2012. Throughout his 38 years of public service, he was initially engaged as a casual or temporary employee from 1974 to 1980, during which no GSIS retirement premiums were deducted from his compensation or remitted by the local government unit. He was extended a permanent appointment in 1981, and GSIS deductions were remitted regularly thereafter until his retirement. Upon retirement, Pauig applied for full retirement benefits under R.A. No. 8291, requesting that his six years of service from 1974 to 1980 as a casual worker be credited in the computation of his Total Length of Service (TLS). The GSIS rejected the inclusion of the 1974–1980 period, asserting that under the GSIS law, services rendered without corresponding premium payments cannot be credited for retirement purposes. The CA reversed GSIS and ordered the inclusion of the casual years.
Issue	Whether temporary or casual service rendered in government without premium deductions and remittances can be credited in the computation of the Total Length of Service for retirement benefits under R.A. No. 8291.
Held	Casual or temporary service rendered WITHOUT corresponding premium deductions and remittances CANNOT be credited in the Total Length of Service for retirement benefits. Verbatim Legal Basis: Section 2(l), Republic Act No. 8291 (The Government Service Insurance System Act of 1997): "Sec. 2. Definition of Terms. — ... (l) Total Length of Service — The number of months for which corresponding contributions have been paid by the member and his employer."

	Section 10(b), Republic Act No. 8291: "Sec. 10. Computation of Service. — ... (b) For the purpose of computing the length of service for the maximum pension benefit, only the service of a member who has paid the corresponding contributions shall be considered."
Ratio	1. Contributory and Actuarial Nature of the GSIS Fund: The GSIS is an actuarially managed social insurance trust fund that relies strictly on the mathematical equivalence between collected member/employer premiums and guaranteed future annuities. Crediting periods of unremitted service threatens the financial solvency and actuarial integrity of the public retirement fund. 2. Clear Statutory Definition of Total Length of Service: Section 2(l) and Section 10 of R.A. No. 8291 define service strictly as that period during which corresponding contributions were actually paid. While the employee may have remedies against the employing local government unit for failing to deduct and remit mandatory contributions, the GSIS cannot be mandated to credit non-contributory years against its trust reserves.
Fallo	WHEREFORE, the petition is GRANTED. The Decision dated June 17, 2013 and Resolution dated November 25, 2013 of the Court of Appeals in CA-G.R. SP No. 126201 are REVERSED and SET ASIDE. The Decision of the GSIS Board of Trustees denying the crediting of respondent's unremitted services from 1974 to 1980 is REINSTATED.

2. *Quirico Aninon vs GSIS, GR No. 190410, 10 April 2019*

Case	Quirico Aniñon v. Government Service Insurance SystemG.R. No. 190410, April 10, 2019
Facts	Quirico Aniñon was employed as a public school teacher under the Department of Education. After decades of service, he filed a claim with the GSIS for disability and subsequent retirement benefits. The GSIS processed his pension but deducted substantial sums representing alleged accumulated premium arrearages, unpaid policy loan balances, and accrued interest, drastically reducing his monthly annuity and gratuity. Aniñon objected, maintaining that the deductions were erroneous because DepEd had deducted the premiums from his monthly paychecks, and the failure of DepEd to remit the funds to GSIS should not penalize the blameless teacher. He further asserted that GSIS's right to claim the unremitted loan balances had prescribed under the four-year prescriptive period provided under the GSIS charter.
Issue	Whether the GSIS can validly offset or deduct alleged unremitted premium arrearages and loan obligations from a retiring public school teacher's retirement benefits.
Held	The GSIS cannot penalize a public school teacher or deduct pension benefits for unremitted premiums when the employee establishes that the amounts were deducted from salary by the government agency. Verbatim Legal Basis: Section 5(a), Republic Act No. 8291: "Sec. 5. Contributions. — (a) It shall be mandatory for the member and the employer to pay the monthly contributions specified in the following schedule... Each employer shall include in its annual appropriation the necessary amounts for its share of the contributions..." Section 7, Republic Act No. 8291: "Sec. 7. Penalty for Non-remittance or Delayed Remittance of Contributions. — Unremitted collections shall bear interest at two percent (2%) per month... The heads of the offices of the national government, its political subdivisions, government-owned and controlled corporations and other government agencies aforesaid shall

	be administratively and criminally liable for failure to deduct and remit..."
Ratio	1. Employer's Statutory Liability for Non-Remittance: The duty to withhold and remit GSIS monthly contributions falls on the employing government agency (DepEd). When a public servant proves through official payslips that mandatory contributions were deducted from his compensation, the employee is deemed to have fulfilled his statutory obligation. 2. Unlawful Withholding of Vested Pension: Under Section 7 of R.A. No. 8291, the penalty, interest, and liability for delayed or failed remittances are legally chargeable against the delinquent agency and its responsible officers, not against the blameless member. The GSIS cannot unilaterally deduct unremitted agency shares from a retiree's pension benefits, as retirement pay is protected social security compensation intended for immediate post-retirement support.
Fallo	WHEREFORE, the petition is GRANTED. The Decision of the Court of Appeals is REVERSED. The Government Service Insurance System is ORDERED to RECOMPUTE the retirement benefits of petitioner Quirico Aniñon without deducting any premium arrearages or surcharges resulting from the Department of Education's failure to remit contributions, and to refund any unlawfully deducted amounts with legal interest.

3. *Ismael and Ajijon v. People, G.R. Nos. 234435-36. February 06, 2023*

Case	Radzpal A. Ismael and Nursi Ajijon v. People of the Philippines G.R. Nos. 234435-36, February 06, 2023
Facts	Petitioners Radzpal Ismael and Nursi Ajijon were the Municipal Mayor and Municipal Treasurer, respectively, of the Municipality of Pandami, Sulu. For multiple consecutive remittance periods, the municipal government deducted the mandatory GSIS life and retirement premiums from the salaries of its municipal employees but failed to remit the collections (totaling hundreds of thousands of pesos) to the GSIS within thirty (30) days from the due date. The GSIS filed criminal complaints against petitioners before the Sandiganbayan for violation of Section 52(g) of R.A. No. 8291. Petitioners claimed good faith, asserting that the municipality faced administrative instability, financial distress, and logistical security difficulties in transporting cash from their remote island municipality to the GSIS branch in Zamboanga or Jolo. The Sandiganbayan convicted both officials.
Issue	Whether the failure of accountable municipal officials to remit deducted GSIS premiums within the statutory period makes them criminally liable under Section 52(g) of R.A. No. 8291, regardless of lack of criminal intent or good faith.
Held	Petitioners are criminally liable; violation of Section 52(g) of R.A. No. 8291 is malum prohibitum, where good faith and lack of criminal intent are NOT valid defenses. Verbatim Legal Basis: Section 52(g), Republic Act No. 8291 (The GSIS Act of 1997): "Sec. 52. Penal Provisions. — ... (g) Failure, refusal or delay by any head of agency, or any officer of the national government, including any local government unit, who is in any way charged with the duty of collecting and/or remitting the contributions, to pay, remit or distribute the amounts due under this Act within thirty (30) days from the time the same become due, shall be punished by a fine of not less than Ten thousand pesos (P10,000.00) but not more than Twenty thousand pesos (P20,000.00) and imprisonment of not less than one (1) year but not more than five (5) years and perpetual disqualification to hold public office."
Ratio	1. Malum Prohibitum Offense: The criminal provision under Section 52(g) of R.A. No. 8291 is a special penal law enacted to protect the actuarial integrity of the State insurance trust fund and safeguard the social security rights of public servants. In crimes mala prohibita, criminal intent is not an element; the sole inquiry is whether the statutory command was breached.

	2. Accountability of Municipal Heads and Treasurers: As the Municipal Mayor and Municipal Treasurer, petitioners were the statutory officials charged with authorizing and executing financial disbursements and remittances. Their failure to remit the deducted contributions within the 30-day statutory window completed the commission of the offense, and pleas of local financial distress or peace-and-order difficulties do not exonerate them from criminal liability.
Fallo	WHEREFORE, the Petition for Review on Certiorari is DENIED. The Decision dated June 1, 2017 and Resolution dated September 11, 2017 of the Sandiganbayan in SB-14-CRM-0118 and 0119 convicting petitioners Radzpal A. Ismael and Nursi Ajijon of violation of Section 52(g) of Republic Act No. 8291 are AFFIRMED.